

New SEPA Method

User Guide

PeopleXD Expense

Table of Contents

Document Control	4
1. Overview	5
1.1. Purpose of the Guide.....	5
1.2. About SEPA Changes (ISO20022)	5
1.3. Key Changes	7
1.3.1. Structured Addresses.....	7
1.3.2. Customised Bank File Implementations	7
1.3.3. Changes to SEPA XML Bank File	7
1.4. Actions For Employers	8
2. Configuration Requirements	10
2.1. Overview	10
2.2. Enable the New SEPA Method at System Level	11
2.3. Enable the New SEPA Method at Company Level.....	12
2.4. Local Instrument Code.....	13
2.4.1. Overview.....	13
2.4.2. Update the Local Instrument Code	14
3. Data Mapping	15
3.1.1. Overview.....	15
3.2. Mapping SEPA Address data.....	16
3.3. Map the SEPA Employee Address	17
3.4. Map the SEPA Employer Address	19
4. Bank-Specific Requirements for SEPA File Format Retrofitting	21

Table of Contents

4.1.	Overview	21
4.2.	Changes to SEPA XML Bank File	22
4.3.	Configuring the SEPA Bank File Settings	23

Document Control

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1. Overview

1.1. Purpose of the Guide

The purpose of this document is to provide comprehensive guidance on configuring PeopleXD to support the New SEPA Method in preparation for its rollout. This guide covers the following key areas:

- Switching on the New SEPA Method at System Level.
- Switching on the New SEPA Method at Company Level.
- Data Mapping for SEPA XML Bank Files.
- Incorporating SEPA updates into Expense XD.
- Bank-Specific Requirements for SEPA File Format Retrofitting.
- Preparing and Cleansing Address Data to meet structured address requirements.
- Validating SEPA Payment Files for different banks to ensure compliance with specific implementations.
- Timelines and Readiness Checks to align with mandatory deadlines.

1.2. About SEPA Changes (ISO20022)

The SEPA (ISO 20022) schema changes are being introduced as part of a European Directive aimed at enhancing payment processing across Europe. These changes, originally set to become mandatory from **October/November 2025**, are designed to facilitate **instant and more efficient payments**, benefiting both businesses and individuals.

In **November 2024**, the **European Payments Council (EPC)** announced a change to the implementation timeline:

- The adoption of **ISO 20022 messaging remains mandatory from October 2025**.
- However, the **structured address requirement** has been **delayed to November 2026** to give organizations more time to comply.

Employers should consult their banks to determine whether early adoption of structured address reporting is recommended.

The **October 2025 vs. November 2026 deadlines** for SEPA ISO 20022 changes are due to different regulatory and implementation timelines:

1. **October 2025 Deadline**

- This is the general deadline for the adoption of the **ISO 20022 messaging format** for SEPA credit transfers and direct debits.
- It is set by the **European Payments Council (EPC)** and applies to all SEPA participants, including banks, payment service providers, and businesses processing SEPA payments.
- By this date, organizations must ensure their systems are compatible with the new format.

2. **November 2026 Deadline**

- This is a separate deadline specifically for the **structured address reporting requirement**.
- Initially, this requirement was part of the October 2025 changes, but it has been **delayed by the EPC to November 2026** to give businesses and banks more time to adapt.
- Most banks, however, **recommend implementing structured addresses alongside the October 2025 migration** to avoid additional system changes later.



Note:

It is critical that you have a conversation with your Bank regarding their plans for supporting ISO20022 and what they recommend you do.

1.3. Key Changes

1.3.1. Structured Addresses

One of the significant updates under the SEPA ISO20022 schema is the requirement for structured addresses within payment files. This ensures consistency and accuracy in payment processing across financial institutions.

Employers should verify with their bank what address format they require or if its ok to omit the address from the SEPA File completely. The mapping of the address format can be managed as outlined in section [3.2 Mapping SEPA Address Data](#). Once a decision on the structured address reporting requirement is confirmed, users will need to review their system address data and any HR or other system feeds to identify and potentially cleanse any necessary data.



Note:

Please see the EU Standard address mapping:

- <https://www.swift.com/swift-resource/250266/download>

1.3.2. Customised Bank File Implementations

While the SEPA ISO20022 schema provides a general framework, its implementation can vary slightly between banks. Each bank's specific requirements will need to be validated to ensure compatibility with their systems.

1.3.3. Changes to SEPA XML Bank File

The new SEPA ISO20022 schema introduces several changes to the XML Bank File format. This section outlines key modifications and new tags in **Version .09** of the SEPA XML standard.

XML Group	Description	Example XML Structure:
Header	Encoding Change	xmlns= "urn:iso:std:iso:20022:tech:xsd:pain.001.001.09"
Local Instrument Code	Purpose: Identifies the Standard Entry Class Code.	<LclInstrm> <Cd>LIC</Cd> </LclInstrm>

XML Group	Description	Example XML Structure:
	Refer to the Local Instrument Code section for specific requirements.	
Settlement Information - Requested Execution Date	A new <Dt> tag is introduced within the <ReqdExctnDt> Xpath. This date often aligns with the processing date due to instant transaction processing.	<pre><ReqdExctnDt> <Dt>2024-09-11</Dt> </ReqdExctnDt></pre>
Debtor and Creditor Agent BIC	Change: The tag <BIC> is replaced with <BICFI> within the Xpath.	<pre><FinInstnId> <BICFI>AIBKIE2D</BICFI> </FinInstnId></pre>
Debtor Agent Address Changes	Debtor SEPA Address Tags: The format of debtor address tags may vary by bank. PeopleXD Reference Data can be mapped to these SEPA tags:	<pre><Nm>968 - FRANECKI INC</Nm> <PstlAdr> <StrtNm>5 GREENFIELDS</StrtNm> <PstCd>R95P79R</PstCd> <TwnNm>FRESHFORD RD</TwnNm> <CtrySubDvsn>KILKENNY</CtrySubDvsn> <Ctry>IE</Ctry> </PstlAdr></pre>
Creditor Agent Address Changes	Creditor SEPA Address Tags: Similar changes apply to creditor addresses. Ensure mapping aligns with your bank's requirements.	<pre><PstlAdr> <StrtNm>15 Loreto Avenue</StrtNm> <PstCd>D13DD23</PstCd> <TwnNm>Bishops Meadows</TwnNm> <CtrySubDvsn>Kilkenny</CtrySubDvsn> </PstlAdr></pre>

1.4. Actions For Employers

It is critical that you have a conversation with your Bank regarding their plans for supporting ISO20022 and what they recommend you do. It is recommended to confirm the following points with your bank:

Action	Bank's Confirmation
Their specific SEPA Bank ISO 20022 requirements	

The appropriate Local Instrument Code	
The structured address reporting requirements	
Confirmed for all payment systems	

Employers need to check this for all payment systems (e.g. **Expense & Payroll**) to verify if they should transition to PAIN.009 fully or use PAIN.003 with modifications or apply no change at all. If recommended by your Bank, consider adopting SEPA ISO 20022 changes early to ensure a smooth transition. Once a decision on the structured address reporting requirement is confirmed, review system address data and any HR or other system feeds to identify and cleanse any necessary data.

2. Configuration Requirements

2.1. Overview

In Expense XD, the New SEPA Method can be enabled at either the System Level or the Company Level:

- **System Level:**
Enables the New SEPA Method across all companies in the system.
- **Company Level:**
Allows individual companies to adopt the New SEPA Method independently, offering flexibility for organisations managing multiple entities with different timelines for SEPA adoption.

This dual-level configuration ensures that organisations can transition smoothly to the new SEPA standards while accommodating varying operational needs.



Citi Bank:

While the **SEPA ISO20022** standard introduces significant changes to payment file formats, certain banks may continue to use their existing formats.

Citi Bank Format

Notification: Citi Bank has confirmed that they will continue to use their existing file format without requiring any changes.

Recommendation: Sites using Citi Bank should confirm with their bank whether this applies to their accounts. If no changes are required, no additional configuration or adjustments to the SEPA setup will be necessary.

Other Banks

Action Required: Since each bank may implement SEPA changes differently, it is crucial for sites to validate file format requirements with their respective banks. If no changes are required, continue using the existing configuration. If changes are necessary, follow the steps outlined in this guide to update the SEPA configuration.

2.2. Enable the New SEPA Method at System Level

To enable the **New SEPA Method** at the **System Level**:

1. Go to CorePay > Update > Utilities > System Configuration > General
2. Enable the *SEPA New Method* indicator to apply the New SEPA Method across all payroll companies in the system.

The screenshot shows the 'GENERAL' system configuration window. On the left, there is a list of various system settings with checkboxes. On the right, there are sections for 'P60', 'Paypath', 'Pay Group Level Bank Details', and 'P11D/P11Db'. In the 'Pay Group Level Bank Details' section, the 'SEPA New Method' checkbox is checked and highlighted with a red rectangle. The 'SEPA Level' dropdown is set to 'IBAN Mode'. The 'P11D/P11Db' section shows 'Run P11D/P11Db from' set to 'Both Payroll and Expense Site' and 'Class 1A NICs Rate' set to '14.53'.

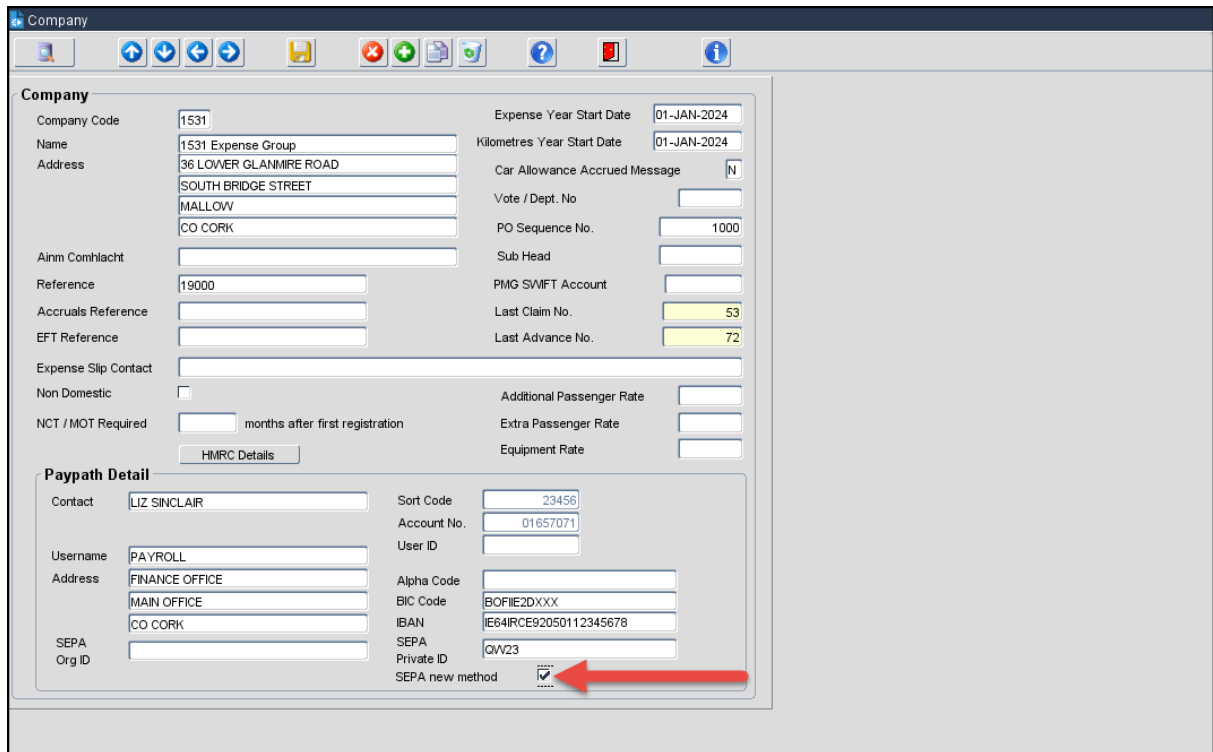
Setting	Value/Status
Client Code	PACKAGE
Duplicate PPS Numbers	N
Country	IR
Currency Code	
Organisation Hierarchy Type E, C or K	
Default Adjustment Indicator	
Hide PRS/INI Totals	
End Date D/A/P for Leaver	
Scaled Deduction Holiday	
Dormant Employees on Tax Certs	
Irregular Claims/Part Time PRSI Week by Week Recalculation	
Multiple Periods of Employment	
Enable ROS Supplementary P45's	
Interface to CoreBank	
Disk Exchange Reference Field	
Negative Retrospection on Government Overtime	
Enable Discipline on Cost Centre	
Enable Active Indicator on Other References	
Enable Pay On Demand	
Display HR Email	
Enable Payroll End Date	
Enable Increment Deferral	
Disable Browse File	
P60 Address	
ESS P60s/Income Levy Certs.	
BOI Online - Max No. of Lines	
Paypath Reference	
Disable Browse Button	
Paypath File Location	C:\
Credit Union Reference Indicator	
Transfer Payment to Company Account	
SEPA Level	IBAN Mode
SEPA New Method	✓
Include Cancel/Manual Payments in Third Party Paypath	
Run P11D/P11Db from	Both Payroll and Expense Site
Class 1A NICs Rate	14.53

3. Click **Save**.

2.3. Enable the New SEPA Method at Company Level

To enable the **New SEPA Method** for a specific company:

1. Go to CoreExpense > Reference > Reference C-C > Company Code.
2. Enter the Company Code in the Company Code field or click  to select it from the LOVs.
3. Enable the *SEPA New Method* indicator to apply the New SEPA Method for the selected company.



The screenshot shows the 'Company' form with the following data:

Field	Value
Company Code	1531
Name	1531 Expense Group
Address	36 LOWER GLANMIRE ROAD SOUTH BRIDGE STREET MALLOW CO CORK
Expense Year Start Date	01-JAN-2024
Kilometres Year Start Date	01-JAN-2024
Car Allowance Accrued Message	N
Vote / Dept. No.	
PO Sequence No.	1000
Sub Head	
PMG SWIFT Account	
Last Claim No.	53
Last Advance No.	72
Expense Slip Contact	
Non Domestic	☐
NCT / MOT Required	☐ months after first registration
Additional Passenger Rate	
Extra Passenger Rate	
Equipment Rate	
Contact	LIZ SINCLAIR
Sort Code	23456
Account No.	01657071
User ID	
Username	PAYROLL
Address	FINANCE OFFICE MAIN OFFICE CO CORK
Alpha Code	
BIC Code	BOFIE2DXXX
IBAN	IE64IRCE92050112345678
SEPA	QW23
Private ID	
SEPA Org ID	
SEPA new method	☒

4. Click **Save**.

2.4. Local Instrument Code

2.4.1. Overview

In SEPA ISO20022 payment messages, the Local Instrument Code specifies the type of payment instrument being used for a transaction. This code defines how the payment should be processed, including any specific rules or formats that apply in different countries or for various transaction types.

The Local Instrument Code ensures that:

- **Processing Rules:** Payments adhere to country-specific regulations.
- **Payment Types:** Different payment instruments, such as credit transfers or instant payments, are correctly handled.

Location in XML Messages

The Local Instrument Code is included in the payment instruction under the <PmtTpInf> (Payment Type Information) element. It is typically represented as follows:

Example XML Structure:

```
<PmtTpInf>
  <LclInstrm>
    <Cd>INST</Cd>
  </LclInstrm>
</PmtTpInf>
```

- **<Cd> Element:** Represents the code for the local instrument.
- **INST:** Indicates **instant payments** as per the **SEPA Instant Credit Transfer (SCT Inst)** scheme.

Purpose

The specific Local Instrument Code used depends on the payment method and applicable country regulations. It enables banks and payment systems to:

- Correctly interpret the payment.
- Apply local standards and processing rules.



Note:

Before making any updates to the **Local Instrument Code** field, it is strongly recommended to **consult with your bank**. This ensures that the selected code aligns with the bank's implementation of SEPA and avoids potential payment processing issues.

2.4.2. Update the Local Instrument Code

To update the **Local Instrument Code**:

1. Go to CorePay > Reference > Bank Details.
2. Select 2. Bank Identifiers from the Select Detail menu.

3. Select the **SEPA DETAILS** button.
4. Update the *Local Instrument Code* field.

5. Click **Save**.

3. Data Mapping

3.1.1. Overview

Data Mapping in Payroll XD enables users to map their PeopleXD reference data to the corresponding SEPA tags required by their bank. This ensures that payment files generated within Payroll XD adhere to the specific SEPA format mandated by each bank.

- Purpose: To align PeopleXD's internal data structure with the SEPA XML format.
- Key Benefit: Ensures accurate and compliant payment file generation, reducing the risk of processing errors.

By correctly mapping reference data to SEPA tags, organisations can seamlessly transition to the new SEPA ISO20022 standard.



Note:

Before completing any data mapping, it is strongly recommended to **consult with your bank** to fully understand the required structure of their SEPA XML bank file.

- **Bank-Specific Requirements:** For some banks, mapping **employer** and/or **employee** data may not be necessary.
- **No Mapping Configured:** If no data mapping is set up, **address information** will not be included in the New SEPA file.

This consultation helps ensure that your SEPA file complies with your bank's specific implementation, preventing potential submission errors.

3.2. Mapping SEPA Address data

Depending on your setup and bank requirements, the following mapping options may be configured:

- Payroll Employer Addresses – SEPAER
Used to map employer address details in payroll-related SEPA files.
- Payroll Employee Addresses – SEPA
Maps employee address details for payroll payment files.
- Expense Employer Addresses – SEPARX
Used to map employer addresses for expense-related SEPA files.
- Expense Employee (Claimant Address) – SEPAEX
Maps employee or claimant addresses in expense-related SEPA files.

To map your People XD data to configure your SEPA file:

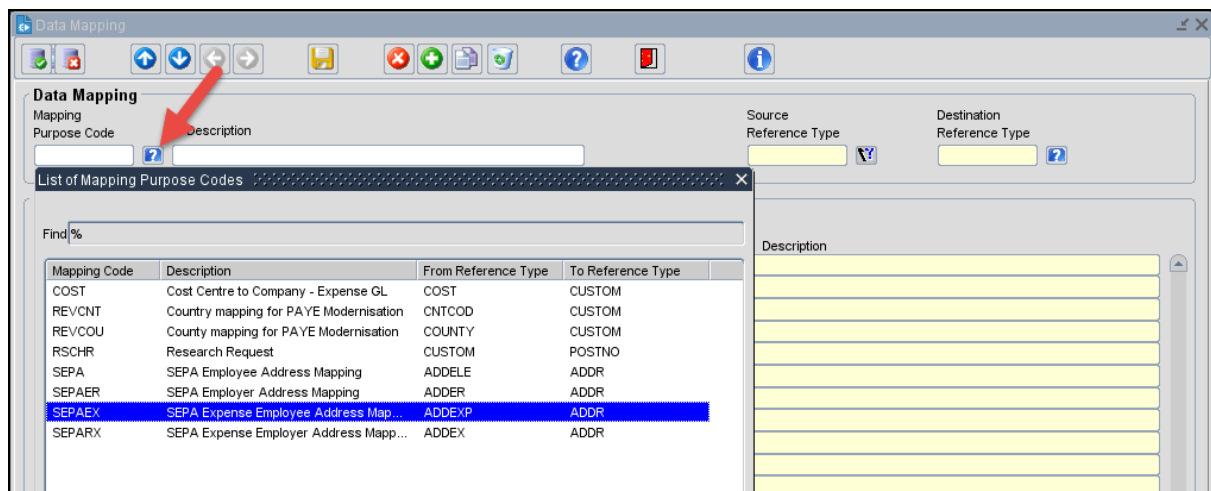
1. Go to CorePay > Reference > Bank Details.
2. Select 3. *Data Talk* from the Select Detail menu.

The screenshot shows the 'Maintain Bank Details' window. On the right side, there is a 'Select Detail' menu with three options: '1. Bank Country Codes', '2. Bank Identifiers', and '3. Data Talk'. The '3. Data Talk' option is highlighted with a red box, and a red arrow points to it from the 'Post Code' field area. The main window contains fields for 'Type' (set to 'BIC'), 'Maintain BIC Details' (with sub-fields for BIC, Bank Name, Address, and Post Code), and a table of bank details. The table has columns for BIC, Bank Name, Address, and Post Code. The first row shows 'AIBKIE2D' for BIC, 'AIB BANK' for Bank Name, 'AIB INTERNATIONAL CENTRE' for Address, and 'POB 518' for Post Code. Below this, there are several empty rows for additional bank details.

3.3. Map the SEPA Employee Address

To map the SEPA Employee Address in PeopleXD:

1. Go to CorePay > Reference > Bank Details.
2. Enter the Mapping Code *SEPAEX* in the *Mapping Purpose Code* field or click  to select it from the LOVs.



Data Mapping

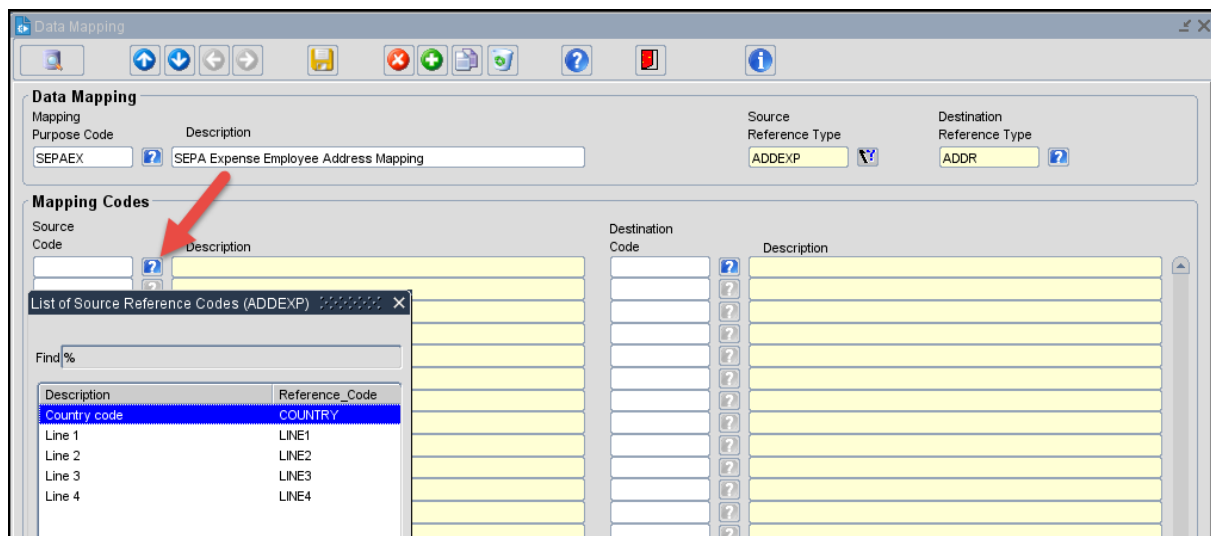
Mapping Purpose Code: 

Source Reference Type:  Destination Reference Type: 

List of Mapping Purpose Codes

Mapping Code	Description	From Reference Type	To Reference Type
COST	Cost Centre to Company - Expense GL	COST	CUSTOM
REVCNT	Country mapping for PAYE Modernisation	CNTCOD	CUSTOM
REVCOU	Country mapping for PAYE Modernisation	COUNTY	CUSTOM
RSCHR	Research Request	CUSTOM	POSTNO
SEPA	SEPA Employee Address Mapping	ADDELE	ADDR
SEPAER	SEPA Employer Address Mapping	ADDER	ADDR
SEPAEX	SEPA Expense Employee Address Map...	ADDEXP	ADDR
SEPARX	SEPA Expense Employer Address Mapp...	ADDEX	ADDR

3. Enter the *Reference Code* you want to map in the *Source Code* field or click  to select it from the LOVs.



Data Mapping

Mapping Purpose Code:  Description: 

Source Reference Type:  Destination Reference Type: 

Mapping Codes

Source Code:  Description: 

List of Source Reference Codes (ADDEXP)

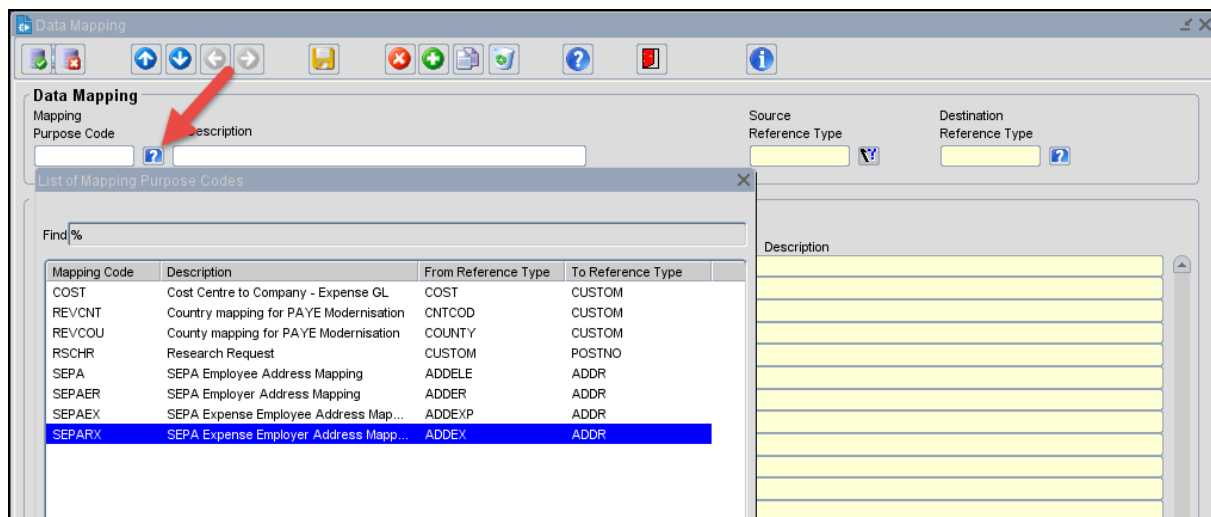
Description	Reference_Code
Country code	COUNTRY
Line 1	LINE1
Line 2	LINE2
Line 3	LINE3
Line 4	LINE4

5. Enter the SEPA Tag to which you want to map the Reference Code in the Destination Code field.

3.4. Map the SEPA Employer Address

To map the SEPA Employer Address in PeopleXD:

1. Go to CorePay > Reference > Bank Details.
2. Enter the Mapping Code *SEPAERX* in the *Mapping Purpose Code* field or click  to select it from the LOVs.



Data Mapping

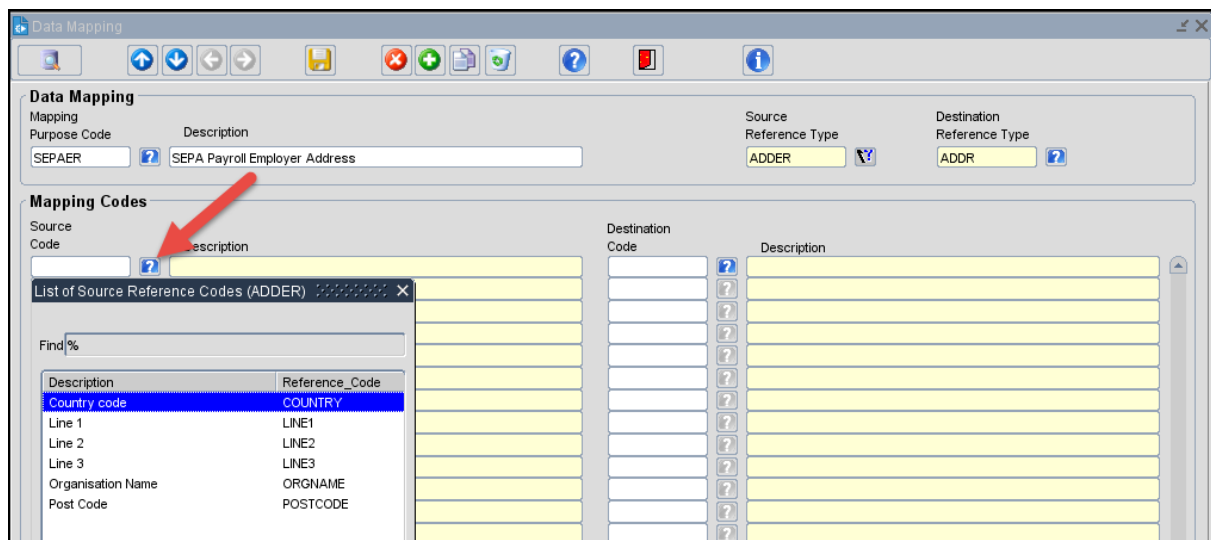
Mapping Purpose Code: Description:

Source Reference Type: Destination Reference Type:

List of Mapping Purpose Codes

Mapping Code	Description	From Reference Type	To Reference Type
COST	Cost Centre to Company - Expense GL	COST	CUSTOM
REVCNT	Country mapping for PAYE Modernisation	CNTCOD	CUSTOM
REVCOU	Country mapping for PAYE Modernisation	COUNTY	CUSTOM
RSCHR	Research Request	CUSTOM	POSTNO
SEPA	SEPA Employee Address Mapping	ADDELE	ADDR
SEPAER	SEPA Employer Address Mapping	ADDER	ADDR
SEPAEX	SEPA Expense Employee Address Map...	ADDEXP	ADDR
SEPARX	SEPA Expense Employer Address Map...	ADDEX	ADDR

3. Enter the *Reference Code* you want to map in the *Source Code* field or click  to select it from the LOVs.



Data Mapping

Mapping Purpose Code: Description:

Source Reference Type: Destination Reference Type:

Mapping Codes

Source Code: Description:

List of Source Reference Codes (ADDER)

Description	Reference_Code
Country code	COUNTRY
Line 1	LINE1
Line 2	LINE2
Line 3	LINE3
Organisation Name	ORGNAME
Post Code	POSTCODE

4. Enter the SEPA Tag to which you want to map the Reference Code in the Destination Code field.

5. Click **Save**.

4. Bank-Specific Requirements for SEPA File Format Retrofitting

4.1. Overview

Providers transitioning to the ISO 20022 XML file format, specifically utilising the pain.001.001.03 version. This format standardises financial messaging, enhancing interoperability and efficiency in payment processing. While many SEPA providers are adopting newer versions, providers can continue to use the .03 format, implementing specific adjustments to align with the New SEPA method.

This section provides comprehensive instructions on how to structure payment files according to a providers specifications using Danske Bank as the example.



Note:

It's important to note that while the ISO 20022 standard is general, each provider may have specific implementations. Therefore, consulting with Providers directly or reviewing their official documentation is recommended to ensure compliance with their requirements.

4.2. Changes to SEPA XML Bank File

The new **SEPA ISO20022 schema** introduces several updates to the XML Bank File format. Below is an overview of key changes and new tags implemented in **Version .03**:

XML Group	Description	XML
Header	Change: Updated encoding reference.	<code>xmlns="urn:iso:std:iso:20022:tech:xsd:pain.001.001.03"</code>
Local Instrument Code	See section: Local Instrument Code . Purpose: Identifies the Standard Entry Class Code.	<code><LclInstrm> <Cd>LIC</Cd> </LclInstrm></code>
Settlement Information - Requested Execution Date	New Tag: Inclusion of <Dt> to specify the execution date. The execution date is often the same as the processing date for instant transactions.	<code><ReqdExctnDt> <Dt>2024-09-11</Dt> </ReqdExctnDt></code>
Debtor Agent	Changes to Address Tags: Format adjusted based on bank requirements.	<code><Nm>968 - FRANECKI INC</Nm> <PstlAdr> <StrtNm>5 GREENFIELDS</StrtNm> <PstCd>R95P79R</PstCd> <TwnNm>FRESHFORD RD</TwnNm> <CtrySubDvsn>KILKENNY</CtrySubDvsn> <Ctry>IE</Ctry> </PstlAdr></code>
Debtor Postal Address	Addition: Inclusion of Country Code in the postal address.	<code><PstlAdr> <Ctry>IE</Ctry> </PstlAdr></code>
Creditor Agent	Changes to Address Tags: Similar adjustments as the debtor address.	<code><PstlAdr> <StrtNm>15 Loreto Avenue</StrtNm> <PstCd>D13DD23</PstCd> <TwnNm>Bishops Meadows</TwnNm> <CtrySubDvsn>Kilkenny</CtrySubDvsn></code>

XML Group	Description	XML
		<Ctry>IE</Ctry> </PstlAdr>
Creditor Postal Address	Addition: Inclusion of Country Code in the postal address.	<PstlAdr> <Ctry>IE</Ctry> </PstlAdr>

4.3. Configuring the SEPA Bank File Settings

The following configuration steps will **override** any existing **System Level** or **Company Level** SEPA Bank File settings. This is the configuration that is applied for banks where they advise they are retrofitting the SEPA changes to the previous bank file format instead of adopting the new changes.

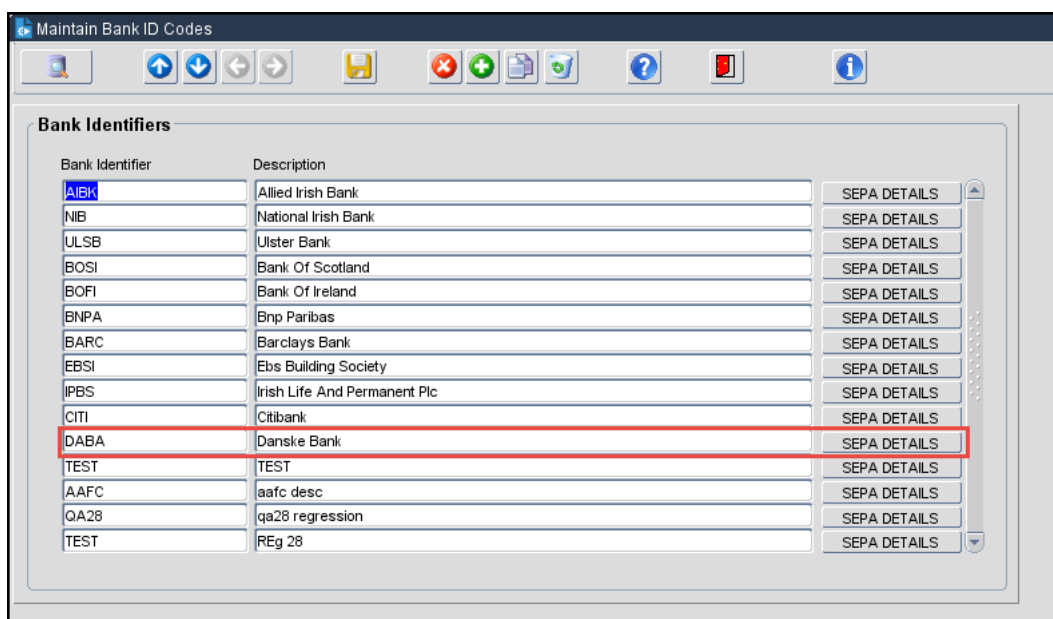


Note:

This example configuration produces your Danske Bank file in the **.03 format**, incorporating **.09 features**, to meet the **New SEPA Method** requirements.

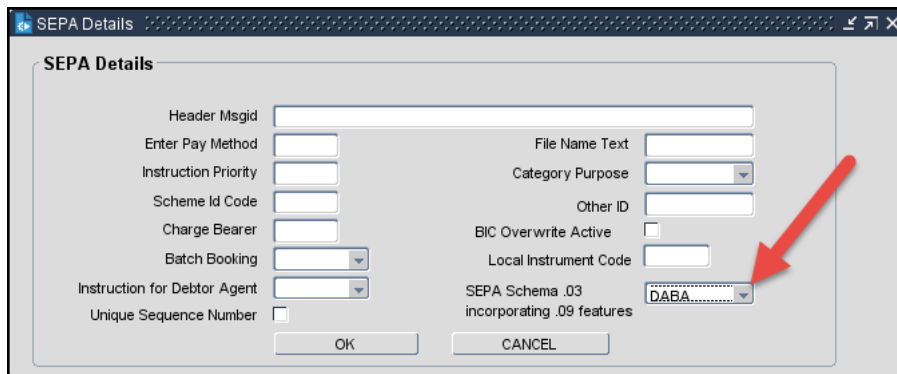
To configure your Bank file for the New SEPA Method:

1. Go to CorePay > Reference > Bank Details.
2. Ensure Danske is set up in your **Bank Identifier** list.
 - Bank Identifier = DABA



3. Select the **SEPA DETAILS** button.

4. Select **DABA** from the **SEPA Schema .03 incorporating .09 features** drop-down.



The screenshot shows a window titled "SEPA Details". Inside, there are two columns of fields. The left column includes: "Header Msgid" (text box), "Enter Pay Method" (text box), "Instruction Priority" (text box), "Scheme Id Code" (text box), "Charge Bearer" (text box), "Batch Booking" (dropdown), "Instruction for Debtor Agent" (dropdown), and "Unique Sequence Number" (checkbox). The right column includes: "File Name Text" (text box), "Category Purpose" (dropdown), "Other ID" (text box), "BIC Overwrite Active" (checkbox), "Local Instrument Code" (text box), and "SEPA Schema .03 incorporating .09 features" (dropdown). The dropdown in the right column is currently set to "DABA". At the bottom are "OK" and "CANCEL" buttons. A red arrow points to the "DABA" dropdown.

5. Click **OK** then **Save**.



Note:

Your **PeopleXD Payroll** system is now configured to generate the **SEPA Bank file** in the **.03 format**, incorporating **.09 features** to meet the requirements of the **New SEPA Method**. There is **no change** to the existing **generate bank file procedure**. Users can continue to generate bank files as usual, with the system automatically applying the new format and features for the SEPA Bank file.